

DIGITAL LENDING CONSUMER SAFEGUARD GUIDELINES, 2026

(ILLUSTRATIVE)

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1. Scope

1.1 These guidelines apply to all regulated entities and their lending service providers offering short-tenure digital loans below Rs. 5,00,000 through mobile applications or web platforms.

2. Disclosure Requirements

2.1 A lender must disclose the Annual Percentage Rate, all processing fees, and the total repayment amount to the borrower before loan disbursal, in a standardised Key Fact Statement. 2.2 The Key Fact Statement must be presented in a font size no smaller than the rest of the application and cannot be bundled with other consents.

3. Cooling-Off Period

3.1 A borrower may exit a digital loan without penalty within 3 working days of disbursal by repaying the principal and proportionate interest for the period the loan was held. 3.2 For loans with tenure of less than 7 days, the cooling-off period is reduced to 1 working day.

4. Recovery Practices

4.1 A lender or its recovery agent shall not contact a borrower before 8 AM or after 7 PM. 4.2 Contact with a borrower's listed references for recovery purposes is prohibited except to obtain updated contact information for the borrower, and only after 3 failed attempts to reach the borrower directly.

5. Data Handling

5.1 A lending app shall not access a borrower's contact list, photo gallery, or call logs. 5.2 Any data collected for underwriting must be deleted within 90 days of loan closure unless the borrower separately consents to longer retention.

6. Penalties for Violation

6.1 Violation of Section 4 shall attract a monetary penalty of up to Rs. 1,00,000 per instance on the regulated entity. 6.2 Three or more substantiated violations of Section 5 within a financial year shall result in the lending service provider being delisted for a minimum of 1 year.